

percentage of the company. Because large founder ownership stakes are rare, these investment managers can focus their energy and attention on a manageable number of potential opportunities. Because the long-term benefits of an exceptional owner-operator driving operating and capital allocation decisions do not necessarily show up in the historic or current financial statements of a business, there exist good possibilities of finding mispriced securities. You can imagine that examining the financial records of Warren Buffett's Berkshire Hathaway in 1965 would have provided few clues as to the subsequent record of stock price performance. The skills required to underwrite such a business leader—an ability to develop a deep understanding of management's motivations, decision-making discipline, willingness to chart a different path than others, long-term vision, and other softer factors—are difficult to acquire. The patience needed to hold onto these companies through bouts of volatility and underperformance is rare. Consequently, investment managers with this focus may be able to develop differentiated expertise in owning these types of companies versus other market participants.

Good investment filters are not rules based. There are many examples of founder-led public companies that turn out to be bad investments. Nor are investment managers likely to thrive as one-trick ponies—they will need to develop other insights and other types of expertise. Starting with a clear investment filter, however, allows an investment manager to spend their time well, develop a focused expertise, and thoughtfully expand their investment universe without suffering from the overabundance of choice.

Like other advice gleaned from Graham and Dodd, the benefits of a good investment filter appear obvious, yet in our experience few investment managers actually maintain a disciplined filter. It is far more common to see managers whose target universe changes based on the flavor of the day—they become excited about software